EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

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CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on five motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: Approve Exos offer (Option B) + §3 exclusivity (90-day) + ROFR on asset sale
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
Motion 4: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)
Motion 5: Resolve related-party balances (4/30/2026 entries) — independent accountant; Microcosm/Wertz directors abstain

These motions protect every SSLC holder outside the Microcosm/Wertz group, including Exos (18%), by correcting the books before any payout.

Ownership: Jim Wertz held most of SSLC until Exos's ~10% purchase, then Exos's ~8% follow-on to keep SSLC cash-flow positive.

Where SSLC Stands Today

$590K

Cash at 10/11

One IM payment 10/7

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $789,572	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
FY27 YTD net income (10/11)	**+$112,666**
Total equity (10/11/2026)	**−$1,443,882**

WHAT SSLC OWES (10/11/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%; stands)	**$31,200 (~$38K+int)**
Total liabilities (10/11)	**$1,296,521**

Exos loan reconciled: $60K→$31.2K (11% int.); records match. $30K prior loan→5,464 shares (incl. in $790K paid-in).

Exos Assessment (Motions 2 & 3) — As Booked vs. Adjusted

pending reconciliation

Line item	As booked		Adjusted	Basis
Due to Microcosm	$451K	-	**~$100K**	*Rent+util credit ~$351K (Jul '24-Aug '26)*
Bookstore note	$321K	≥	$224K	*$97K interest capitalized 4/30/2026*
Billed ahead (est.)	$942K	≥	~$100-250K	*Start-billings uncleared at ship (Motion 3)*
Total equity	-$1.44M	≥	**~-$1.09M+**	*Credit alone; more if billed-ahead corrected*
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The April 30, 2026 Entries: As Found and What They Cost Holders

Per SSLC's QuickBooks, 4/30/2026

$426,687 — **Microcosm A/P reclassified to Due to Microcosm**

Vendor invoices become a fixed insider balance due at close

$97,302 — **Interest capitalized into the Bookstore note**

Increases the payout to Microcosm Astronautics Books

$812,699 — **SSLC loans to Microcosm fully netted against:**

$294,499 loan payable · $423,965 "reimbursables"
$61,290 "Judy's time" · $32,946 reimbursable = $518,201
No invoices or agreements provided for these offsets

Since Jul 2024: SSLC pays 100% of facility costs

Microcosm's ~$351K share (rent + utilities) has never been credited

Why the Board must review *(appearance, not intent)*

- Every entry favors Microcosm/Wertz-controlled entities and increases what they are paid at close.
- The entries were made under the direction of interested officers and were not approved by disinterested directors (Cal. Corp. Code §310).
- They were made while a director's right to inspect the books was outstanding (Bylaws Art. VII §4).
- They were booked while the acquisition was pending.
- Insider interest was capitalized while the one outside lender, Exos, went unpaid.

Together these create the appearance of self-dealing, which a buyer, fairness-opinion provider or court would question.

IMPACT ON SSLC HOLDERS

~46% of each dollar paid to insiders comes from holders outside the Microcosm/Wertz group

Step 1 — Facility credit + capitalized interest: **$448K total · Non-Wertz holders lose ~$208K (Conger ~$46K, Rufer ~$57K)**

Step 2 — + Unsupported offsets if unresolved: $967K total · Non-Wertz holders lose ~$449K (Conger ~$99K, Rufer ~$123K) · Microcosm would owe SSLC

Microcosm can resolve this before the vote by supporting Motion 5.

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③, not additive.

Offer Value as a Multiple of SSLC Revenue

FY26 actual: $1.925M | FY27 target: $5.1M

	vs. FY26 actual ($1.925M)	vs. FY27 target ($5.1M)
② At close: $4.86M	~2.5×	~0.95×
③ 5-year: $5.8M – $9.0M	~3.0–4.7×	~1.1–1.8×
④ Max $18.9M (held to 2031)	~9.8×	~3.7×

Declining this offer is a judgment that SSLC alone, without new capital, is more likely to create more than the $18.9M maximum this offer projects (if Exos stock is held to 2031). Not a guarantee; "projects" is the operative word.

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

Five motions today: approve offer + §3 exclusivity + ROFR → 90-day window → financing close target Feb 15th

Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

Cash to Shareholders at Close

Exos cash purchase price	+$2,510,000
+ SSLC cash at close (est.; $590K on 10/11)	*+$675,000*
Subtotal inflows	**$3,185,000**
– SSLC loans & notes	($1,027,783)
– Other current liabilities (AP, accruals)	($148,738)
– Customer deposits (IM, transferred)	($120,000)
– Billed-ahead work, genuine (Exos est.)	($250,000)
– 5% escrow holdback (released 12 months)	($125,500)
Net cash distributable at close	**~$1.51M**
+ Exos stock (EAI units, Rule 504, 409A)	+$1,000,000
+ Escrow release at 12 months	+$126,000
+ Earn-outs base case (FY27–FY31)	+$2,525,000
~5-year total to SSLC shareholders	**~$5.16M**

What Shareholders Paid In vs. Will Receive

PAID-IN CAPITAL (per SSLC books)

Common stock	$1,010,423
Additional paid-in capital (APIC)	$4,042
Total paid-in capital	**$1,014,465**

Exos: $790,000 for 18.06% — recognized via $790K stake credit in price

All other holders: ~$224,000 combined for 81.94%

Invested largely 25+ yrs ago (per John Quinn; to be confirmed via stock ledger). Exos: 2021–2024.

PROJECTED RETURN (OTHER HOLDERS, 81.94%)

Cash + stock at close (est.)	~$2.5M
Total over 5 years incl. earn-outs	~$5.2M
Implied return on invested capital	**11× at close / 23× over 5**

⚠ NOT YET CREDITED TO SSLC HOLDERS

Microcosm's 50% facility costs, Jul 2024–Aug 2026: ~$351K
(rent ~$316K + utilities ~$35K). Not credited vs. $451K owed to Microcosm.
If applied: SSLC holders' cash at close ~$1.51M → ~$1.86M (base case).
'Due to Microcosm' falls to ~$100K.
Equity improves: -$1.44M to ~-$1.09M.

Why We Need the Stock Ledger (Motion 2)

- Books show $1,014,465 total paid-in; the stock ledger allocates it by shareholder.
- Ledger confirms cap structure: which shares were issued for cash vs. debt conversion.

Projection based on SSLC books 10/11/2026 + Exos offer terms. Low/high: net cash $1.28M–$1.74M; 5-yr $3.4M–$7.0M. Not a guarantee.

Board Motions

1 **Approve Exos's Offer, Confirm §3 Exclusivity and Grant a ROFR**

☐ Approve
☐ Decline

The Board approves the Exos offer (Option B terms), confirms Exos's 90-day §3 exclusivity under the May 2025 Asset Acquisition Agreement, and grants Exos a right of first refusal on any sale of SSLC's assets or a controlling interest.
ROFR term: 6 months from approval; auto-extends while a definitive APA is under negotiation.

2 **Grant Full Read-Only QuickBooks Online Access for Diligence**

☐ Approve
☐ Decline

Authorize all-access QB Online for John Quinn + one Exos finance reviewer.
Provide: stock ledger, cap table, subscription agreements, paid-in capital by shareholder.
Deadline: Oct 15, 2026. §1602 inspection right + AAA §4. NDA 7/27/2021.

3 **Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days**

☐ Approve
☐ Decline

Direct A La Carte Solutions + Singer Lewak / Welch & Co. to reconcile within 5 days:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Customer Deposits ($120,000).
- Clear start-billings on shipped tanks; post Jul–Sep 2026 revenue-recognition entries.
- Tank recon (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

4 **Consent to ERP/MRP & Inventory Evaluation (Separate Motion)**

☐ Approve
☐ Decline

Authorize Exos to use the QB data to evaluate compatible ERP/MRP and inventory systems.
Evaluation only; no implementation obligation. Confidential under the NDA.

Governance: John Quinn abstains on Motions 1-4 as an interested director; motions are decided by the disinterested directors.

Board Motions (continued)

5 Resolve Related-Party Balances (April 30, 2026 Entries)

☐ Approve
☐ Decline

The Board directs the following:

1. Treat the April 30, 2026 journal entries as disputed, pending independent review. Microcosm and the Bookstore (Microcosm Astronautics Books) shall provide invoice and agreement support for each netting offset and for the Bookstore and Wertz notes.

2. Credit Microcosm's share of SSLC's facility costs since July 2024 against the "Due to Microcosm" balance, unless a written agreement signed by disinterested directors provides otherwise.

3. No payment, netting, security interest, or further accrual of interest on the Microcosm, Bookstore, or Wertz balances without prior approval of the disinterested directors of SSLC.

4. An independent accountant chosen by the disinterested directors shall reconcile these balances and the AR Unbilled / Customer-Deposit accounts within 30 days.

Governance: Interested directors (J. Wertz, A. Wertz) abstain on Motion 5 (Cal. Corp. Code §310). John Quinn abstains on Motions 1–4 as an interested director. Motions are decided by the remaining disinterested directors.

Path to Close

1. **Board Votes — Five Motions**
   Today — action requested at this meeting
2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins
3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized
4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②
5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked today to vote on Motions 1–5: approving the Exos offer and granting exclusivity + ROFR (Motion 1), QB access (Motion 2), accounting correction (Motion 3), and ERP evaluation (Motion 4). Declining Motion 1 is a judgment that SSLC alone — without new capital — is more likely to create more than the $18.9M maximum this offer projects (if Exos stock held to 2031). Not a guarantee; "projects" is the operative word.